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Presentation in final accounts

In Profit and loss A/c	Amount of provision for bad and doubtful debts is shown on the debit side.
In Balance Sheet	Amount of provision for bad and doubtful debts is deducted from sundry debtors on the assets side.

Example

The trial balance prepared on 31st December, 2016 shows sundry debtors as ` 1,50,000.

Adjustment: Provide 5% for bad and doubtful debts on sundry debtors.

Provision for bad and doubtful debts = ` 1,50,000 x 5/100 = ` 7,500. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Profit and loss A/c	Dr.		7,500	
Dec. 31	To Provision for bad and doubtful debts A/c				7,500
	(Provision for bad and doubtful debts made)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st December, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Provision for bad and doubtful debts	7,500				

Balance Sheet as on 31st December, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	1,50,000	
			Less: Provision for bad and doubtful debts	7,500	1,42,500

Tutorial note

When provision already exists and appears in trial balance, the accounting treatment is as below:

1. If the provision required at the end plus the bad debts written off, is higher than the existing provision, the difference amount will be created as provision in the current year and will appear on the debit side of profit and loss account.
2. If the provision required at the end plus bad debts written off, is lesser than the existing provision, the excess is written back and will appear on the credit side of profit and loss account.

The journal entries are:

(a) For bad debts written off

Bad debts A/c Dr. xxx